

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERNATIONAL LONGSHOREMAN'S ASSOCIATION,
Complainant

DOCKET NO. 22-12

v.

GATEWAY TERMINALS, LLC; CHARLESTON STEVEDORING
CO., LLC; PORTS AMERICA FLORIDA, INC.; CERES MARINE
TERMINALS, INC.; AND SSA ATLANTIC, LLC, *Respondents*.

Served: September 29, 2023

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on April 12, 2022, when the Federal Maritime Commission ("Commission" or "FMC") issued a notice of filing of complaint and assignment, indicating that Complainant International Longshoremen's Association ("ILA") had filed a complaint against Respondents Gateway Terminals, LLC ("Gateway"), Charleston Stevedoring Company, LLC ("CSC"), Ports America Florida, Inc. ("PAF"), Ceres Marine Terminals, Inc. ("Ceres"), and SSA Atlantic, LLC ("SSA").

An amended complaint, filed on June 3, 2022, alleges that Respondents are preventing "true negotiation over the rates and fees for stevedoring and marine terminal operation services" at the Ports of Charleston and Savannah, in violation of the Shipping Act, by operating a joint venture under an agreement that violates § 41102(b); are imposing "undue or unreasonable prejudice or disadvantage" by eliminating competition in violation of § 41106(2); and are refusing to deal or negotiate "with any person," including with the ILA and its affiliated local unions, in violation of § 41106(3). Amended Complaint at 15-20. Respondents filed an answer denying the allegations and alleging affirmative defenses, including that the Amended Complaint fails to state a cause of action, the ILA has not suffered any damages for which the FMC can grant relief, the claims are barred in whole or in part by the doctrine of sovereign immunity, and the FMC "lacks subject matter jurisdiction over the claims." Answer at 12-13.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On January 23, 2023, Respondents moved to bifurcate this proceeding into a jurisdictional adjudication, followed by a proceeding on the merits if jurisdiction is established over at least one Respondent. Motion to Bifurcate at 1-3. This motion was granted on March 9, 2023 (“Bifurcation Order”), and it was directed that discovery be limited to jurisdictional inquiries only, followed by an initial decision as to whether there is jurisdiction to adjudicate the Amended Complaint. Bifurcation Order at 4. The Order explained that here, “convenience, along with expediting and economizing, are equally well served by requiring the parties to engage in limited discovery followed by briefing on the issue of jurisdiction before proceeding to the more expansive discovery likely to occur regarding the merits.” Bifurcation Order at 4. Therefore, the present decision will solely address whether Respondents are marine terminal operators subject to the Commission’s jurisdiction. Because the Commission examines an entity’s MTO status based on the specific facility at issue in the dispute, jurisdiction here will be assessed based on whether any of Respondents are marine terminal operators specifically at the Port of Savannah and/or at the Port of Charleston.

As discussed more fully below, the evidence does not support a finding that any of Respondents are marine terminal operators at either of the relevant ports. None of Respondents have been shown to be engaged in “the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier” at the Port of Savannah or at the Port of Charleston. Respondents’ activities at these ports also do not support MTO status based on Commission case law, including *Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist.*, Docket No. 79-45, 25 F.M.C. 59 (FMC July 30, 1982). While certain of Respondents may offer essential services at the relevant ports – consisting of container vessel stevedoring and gate services – Respondents have not been shown to control access to private facilities at the relevant ports to enforce their charges. Moreover, the overall level of control exhibited by Respondents at the relevant ports is not sufficient to constitute a “furnishing” of terminal facilities there, so as to confer jurisdiction over Respondents. Finally, there is no precedence for service providers being deemed to be marine terminal operators solely on the basis of their being awarded an exclusive services contract by the port authority/marine terminal operator decision-maker. Accordingly, the ILA has not met its burden of establishing that any of Respondents are marine terminal operators at the Port of Savannah or at the Port of Charleston. Because jurisdiction has not been established over Respondents, this case will not proceed to an adjudication on the merits.

B. Procedural History

On April 12, 2022, the Commission issued a notice of filing of complaint and assignment, initiating this proceeding. On May 9, 2022, Respondents filed a motion to dismiss ILA’s complaint. ILA moved for leave to file an amended complaint on June 3, 2022. This motion was granted on June 23, 2022, and Respondents’ motion to dismiss was denied as moot.

On July 8, 2022, Respondents filed a motion to dismiss Counts 2, 3, and 4 of ILA’s Amended Complaint and to strike ILA’s prayer for reparations. On July 29, 2022, ILA filed an opposition to Respondents’ motion to dismiss and on August 12, 2022, Respondents filed a reply to ILA’s opposition.

On August 18, 2022, an order was issued requesting briefing on the issue of whether or not this proceeding or the requested relief implicate state sovereign immunity. Both ILA and Respondents filed the requested briefing on September 15, 2022. On September 22, 2022, an *amicus curiae* brief was submitted by Georgia Port Authority (GPA). ILA filed a response to Respondents' state sovereign immunity briefing on September 27, 2022, and Respondents filed a response on September 29, 2022. On September 26, 2022, this proceeding was reassigned to the undersigned.

On November 7, 2022, an order was issued denying Respondents' partial motion to dismiss, including their request to strike ILA's request for award of reparations ("Order on Partial MTD"). The Order also accepted GPA's *amicus* brief and directed Respondents to file an answer to the amended complaint by November 18, 2022. Order on Partial MTD at 2, 7.

On January 23, 2023, Respondents filed a motion to bifurcate the proceeding "into two separate litigations: the first proceeding solely on jurisdictional issues, and the second on the merits of the ILA's claims." Motion to Bifurcate at 2. A March 9, 2023, Order ("Bifurcation Order") granted Respondents motion "to bifurcate the issue of jurisdiction from the merits of the case," which allowed ILA discovery "limited to how the subject terminals operate at the two ports in question." Bifurcation Order at 4-5. The Order also stated: "even if only one of the named Respondents is demonstrated by the jurisdictional discovery to be an MTO, the case will proceed to discovery on the merits and the parties will be given an opportunity to submit briefs limited to the Shipping Act violations alleged to have occurred." Bifurcation Order at 4.

On March 17, 2023, an order on motion to amend schedule was issued. On May 10, 2023, an order on second motion to amend schedule was issued. A notice of extension of time was issued on March 29, 2023, extending the deadline for issuance of an Initial Decision from April 12, 2023, to December 12, 2023.

On May 15, 2023, ILA filed its jurisdictional brief, proposed findings of fact, and appendix (exhibits labeled as "CX"). On June 5, 2023, Respondents filed their opposition brief, proposed findings of fact, and appendix (exhibits labeled as "Resp. Appx.," referred to herein as "RX"). Respondents then moved for leave to supplement the record on June 13, 2023. A June 20, 2023, Order granted this motion, accepting a declaration provided by Mr. Joel Britt, Vice President of Terminal Operations for South Carolina State Ports Authority ("SCPA" or "SCSPA"), and extended ILA's time allowed to file its response brief by one week. On June 27, 2023, ILA filed its reply brief and supplemental appendix.

C. Arguments of the Parties

ILA argues that the Federal Maritime Commission has jurisdiction over Respondents insofar as they are, or at a relevant time were, marine terminal operators within the ports of Charleston and Savannah; they so qualify because Respondents control access to the port terminals and operate terminal facilities in Charleston and Savannah; and efforts to obtain evidence of day-to-day operations were hindered because Respondents have refused to provide necessary discovery. Brief at 1, 3-27; Reply at 1, 3-22.

Respondents assert that ILA has failed to carry its burden of proving by a preponderance of the evidence that any of the five Respondents is a marine terminal operator in either the Port of Charleston or the Port of Savannah; therefore, the Amended Complaint should be dismissed for lack of jurisdiction over each and every Respondent; and Respondents have complied with their jurisdictional discovery obligations. Opposition at 1, 13-27, 38.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are set forth in part two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT (“FOF”)

A. Entities

1. The International Longshoremen’s Association (“ILA”) is a labor organization representing longshore workers, clerks and checkers, maintenance and repair workers, and other workers employed in related crafts along the East and Gulf Coasts of the United States, including the Ports of Savannah, Georgia, and Charleston, South Carolina. Amended Complaint at ¶ 1; Answer at ¶ 1.
2. The ILA represents employees of Respondents Gateway, CSC, Ceres, and SSA at the Port of Savanna and the Port of Charleston. Amended Complaint at ¶ 7; Answer at ¶ 7.
3. Gateway is a Georgia limited liability company with its principal place of business in Garden City, Georgia. Amended Complaint at ¶ 2; Answer at ¶ 2. It is now a joint venture, owned by Southeast Stevedoring Holdings, LLC (“SSH”), which in turn is owned by Ceres, SSA, and Marine Terminals Corporation - East (“MTCE”). Answer at ¶ 2; RX 365 (Grimes Decl., Gateway VP of Finance).

4. At present, Gateway is the exclusive provider of container vessel stevedoring and gate services in the Port of Savannah, based on a license agreement with the Georgia Ports Authority (“Gateway-GPA Agreement”). CX 587; CX 586-624 (whole agreement).
5. Ceres, SSA, and MTCE combined their respective stevedoring businesses at the Port of Savannah in 2021, into the pre-existing Gateway entity in order to create the current Gateway joint venture. CX 11; CX 390 (Second Amended Gateway Operating Agreement); CX 440 (Ceres & Gateway 2021 Services Agreement); CX 478 (SSA & Gateway 2021 Services Agreement); CX 537 (MTCE & Gateway 2021 Services Agreement); RX 380.
6. As described in the Gateway-GPA Agreement, GPA “decided to consolidate the provision of container vessel stevedoring and gate services by a single entity in the belief that consolidation would yield positive benefits for the State of Georgia and Terminal users including . . . improvements related to safety, quality and efficiency of vessel stevedoring and gate services.” CX 586.
7. Prior to reforming in 2021, Gateway provided gate services at Garden City Terminal and Ocean Terminal, but it did not offer stevedoring services at the Port of Savannah. CX 390; CX 459; RX 129.
8. Gateway’s 2014 Operating Agreement with GPA states that GPA owns the Gate Interchange Facilities at the Port of Savannah and that Gateway had been organized to manage equipment interchange service at those facilities. CX 249.
9. CSC is a Delaware limited liability company with its principal place of business in Charleston, South Carolina. Amended Complaint at ¶ 3; Answer at ¶ 3.
10. CSC was formed as a joint venture in 2020 and is also owned by SSH, therefore it is ultimately owned by Ceres, SSA, and MTCE. CX 204; CX 206.
11. Ceres, SSA, and MTCE combined their pre-existing assets in the Port of Charleston as of May 4, 2020, in order to create the current CSC joint venture. *See, e.g.*, CX 225 (Transition Services Agreement between CSC and MTCE); RX 379-380.
12. At present, CSC is the exclusive provider of container vessel stevedoring at the Port of Charleston based on a License Agreement and Master Port Facility License Agreement with the South Carolina State Ports Authority. CX 212-223 (2020 CSC-SCPA License Agreement); CX 180-203 (2020 CSC-SCPA Master Port Facility License Agreement).
13. As described in the CSC-SCPA License Agreement, SCPA “has determined that it would be more efficient for the JV to provide Stevedore Services at the Port rather than having to transact with three stevedoring entities” and the SCPA desires for the JV to “provide adequate, competitive, consistent, efficient, optimized, and safe Stevedore Services at the Terminal in an effort to keep the Port competitive in the United States port market.” CX 212.

14. Per the CSC-SCPA License Agreement, CSC is also authorized to “participate, as today, in the Charleston Gate Company (“CGC”)” such that “CGC will bill the JV for its services” and “the JV shall negotiate tariff rates for Stevedore Services and CGC fees for gate services directly with the container lines.” CX 221, Schedule A.
15. As of 2019, the Charleston Gate Company was the gate operator in the Port of Charleston and SSA, Ceres, and Container Maintenance Corporation (“CMC”) each owned one-third of the company. CX 170; CX 173; *see also* RX 274 (Charleston Gate Amended Operating Agreement, signed October 1, 2015).
16. The 2011 Charleston Gate Operating Agreement indicates that Charleston Gate was formed for the purpose of hiring and managing labor to perform, at the Port of Charleston, “certain functions known as ‘TIR Functions,’ which primarily involve checking containers into and out of the Port and assigning temporary storage locations for each container.” CX 1038.
17. Ceres Marine Terminals, Inc. (“Ceres”) is a Maryland corporation with its principal place of business in Nashville, Tennessee. Answer at ¶ 6.
18. SSA Atlantic, LLC (“SSA”) is a Delaware limited liability company with its principal place of business in Seattle, Washington. SSA also has a place of business located in Savannah, GA. Amended Complaint at ¶ 5; Answer at ¶ 5.
19. Ports America Florida, Inc. is a Florida corporation with its principal place of business in Tampa, Florida. Amended Complaint at ¶ 4; Answer at ¶ 4.
20. Prior to Gateway and CSC becoming the exclusive providers of container vessel stevedoring services at the Ports of Savannah and Charleston, Ceres and SSA provided container stevedoring services independently at both ports. RX 379 (Mygatt Decl., Ceres CEO); RX 387-388 (Lokey Decl., SSA Regional VP).
21. Ceres continues to provide stevedoring for cruise ships at the Port of Charleston. RX 383; CX 1129.
22. SSA continues to provide stevedoring for military and non-containerized cargo at the Port of Charleston. RX 387; Opposition at 16.

B. Port of Savannah Operations

23. On October 29, 2021, Gateway and the Georgia Ports Authority entered into the Gateway-GPA Agreement making Gateway the exclusive provider of stevedoring and gate services in the Port of Savannah, including Garden City Terminal and Ocean Terminal. CX 586-587. This agreement was to take effect on January 1, 2022, and remain in effect through December 31, 2031, by default. CX 587-588.
24. The Gateway-GPA Agreement states:

GPA owns and operates deep-water marine terminal facilities known as Garden City Terminal (“GCT”) located in Garden City, Georgia and Ocean Terminal (“OT”) located in Savannah, Georgia. GCT and OT are collectively referred to as the “Terminal” . . . [Per Georgia law] GPA is granted certain powers to (i) develop and improve seaports of the State of Georgia for the handling of waterborne commerce, domestic or foreign, (ii) investigate and handle matters pertaining to transportation rates and rate structures affecting freight and commerce through such ports, and (iii) to do any other things necessary or proper to foster and encourage the commerce of the State of Georgia; . . . in the exercise of its powers and regulatory authority described above, GPA is constantly seeking to improve Terminal operations and deliver services to Terminal users more efficiently and effectively; . . . in furtherance of the foregoing, GPA has decided to consolidate the provision of container vessel stevedoring and gate services by a single entity in the belief that the consolidation will yield positive benefits for the State of Georgia and Terminal users including . . . improvements related to safety, quality and efficiency of vessel stevedoring and gate services. . . . GPA and Gateway agree to cooperate in the provision of services in order to achieve certain goals as a result of the consolidation, including . . . cost savings and greater productivity.

CX 586.

25. Section 1 of the Gateway-GPA Agreement states:

GPA designates Gateway as the exclusive provider of container vessel stevedoring and gate services at the Terminal, subject to the terms and conditions herein. As a result of designating a single provider of container vessel stevedoring and gate services (collectively, the “Services”), GPA intends to improve the level of service provided to Terminal users related to safety and efficiency. **Gateway acknowledges and agrees that GPA shall continue to be the marine terminal operator for the Terminal responsible for the operation of all cranes and container handling equipment** such as top lifts, and all container yards and intermodal container transfer facilities. GPA and Gateway shall coordinate as necessary to achieve the objectives of this agreement with respect to the services to be performed by each party. For the avoidance of doubt, the Parties acknowledge and agree that the exclusive right granted to Gateway herein to provide stevedoring services shall apply solely to container vessels and shall exclude stevedoring services for non-container vessels. GPA shall have the right to grant permission to any other third party to provide services for non-container vessels.

CX 587 (emphasis added).

26. Section 3 of the Gateway-GPA Agreement provides: “As a specific condition of this Agreement, **GPA and Gateway agree to adopt and incorporate by reference herein all rates, rules and regulations not specifically covered in this Agreement, as set forth in GPA’s Marine Terminal Operator Schedule No. 5-A . . . together with all changes and revisions thereto issued in the future (the “MTO Schedule”)**. Gateway acknowledges the inclusion of such rates, rules and regulations in this Agreement and agrees to be bound by, and comply in all materials respects with, the requirements set forth in the applicable provisions of the MTO Schedule.” CX 588 (emphasis added).
27. The Gateway-GPA Agreement further states: “this Agreement and the relationship created hereby shall not be considered to be a partnership, joint venture, or employee/employer relationship **The relationship between Gateway and GPA shall be that of a third-party service provider and marine terminal operator.**” CX 589 (emphasis added).
28. Section 8(a) of the Gateway-GPA Agreement provides:
- GPA and Gateway have agreed upon certain key performance indicators (“KPIs”) related to safety, vessel operations (planning and execution) and gate operations, as set forth in Exhibits B, C, and D, that will be used by the Parties to measure and evaluate Gateway’s safety record and performance of the Services. . . . In the event Gateway fails to achieve one or more of the Performance Targets, or Gateway’s performance of the Services fails to meet GPA’s goals for safety, productivity and/or efficiency based on the KPIs, GPA shall have the right to terminate this Agreement
- CX 589.
29. The Gateway-GPA Agreement describes a new GPA department, the Marine Department, formed “for the purpose of coordinating vessel stevedoring work with Gateway management and GPA personnel from other departments including . . . Yard, Intermodal, Cranes, Ship Operations and Port Police. The Marine Department will work closely with Gateway to (i) review planning and execution of vessel stevedoring operations, (ii) analyze KPIs and Performance Targets, (iii) communicate concerns among GPA, Gateway and ocean carriers, (iv) ensure safety requirements are being followed, and (v) investigate opportunities to improve all aspects of vessel and Terminal Services.” CX 590.
30. Section 9 of the Gateway-GPA Agreement requires Gateway “to adopt and utilize any and all information technology systems developed by, or on behalf of, GPA related to the Services” and requires Gateway “to utilize GPA’s terminal operating system (“TOS”) in the performance of the Services” CX 590.
31. Exhibit B ¶ 5(a) of the Gateway-GPA Agreement states: “GPA is a marine terminal operator with deep water facilities handling international cargo The Terminal contains ‘Restricted Areas’ . . . and access control requirements are enforced by GPA.

The Terminal property is a ‘Restricted Area’ requiring all entry to comply with GPA’s Facility Security Plan” and “Gateway agrees” to “comply with GPA’s Facility Security Plan, to the extent the Facility Security Plan, or any part thereof, is made known to Gateway.” CX 609-610. Paragraph 5(c) states “In addition to the terminal security surcharge described in the MTO Schedule, GPA reserves the right to recover security expenses by way of assessment, if any, applied to all users of GPA’s Terminal facilities.” CX 610. Paragraph 5(d) states “Gateway agrees to immediately notify GPA’s Port Police Department of any breach of security and/or transportation security incident.” CX 610.

32. The Gateway-GPA Agreement specifies:

All rates applicable to the Services are set forth in Exhibit A Gateway agrees to comply with all safety rules and requirements related to the Services, as set forth in Exhibit B Gateway agrees to perform vessel Services in accordance with the terms and conditions set forth in Exhibit C, and gate Services in accordance with the terms and conditions set forth in Exhibit D

CX 589.

33. Pursuant to Exhibit A of the Gateway-GPA Agreement, Gateway is authorized to “invoice ocean carriers for vessel stevedoring services based on rates negotiated and agreed upon between Gateway and the applicable ocean carrier” and to “invoice ocean carriers for gate services based on rates negotiated and agreed upon between Gateway and the applicable ocean carrier.” Further, “Gateway agrees the rates, terms and conditions offered to ocean carriers for the Services shall be competitive with those offered to ocean carriers at the Terminal immediately prior to the Effective Date of this Agreement.” CX 606, Ex. A ¶¶ 1-2, 4.
34. The Gateway-GPA Agreement also makes explicit that “GPA’s regulatory role shall include reviewing whether Terminal users are being offered commercially reasonable rates for purposes of GPA and its Terminals for comparable services to those offered to ocean carriers at GPA’s Terminals immediately prior to Effective Date of this Agreement.” CX 606, Ex. A ¶ 4. To effect this “Gateway shall direct each of its members to provide GPA with their rate schedule(s) for the two (2) years prior to the Effective Date, applicable to vessel and gate services, so that GPA may compare previous rates to the new rates . . . proposed by Gateway as of the Effective Date of this Agreement.” CX 606, Ex. A ¶ 4. The agreement further provides:

In the event GPA concludes Gateway is not offering commercially reasonable rates for services provided at the Terminal on the Effective Date, Gateway agrees it will amend its rates as necessary to satisfy GPA’s regulatory concerns. Gateway’s failure to amend its rates as directed by GPA pursuant to the immediately preceding sentence, shall be deemed a material breach of this Agreement.

CX 606, Ex. A ¶ 4.

35. In addition, the contract provides:

Being the exclusive provider of vessel stevedoring services on the Terminals, Gateway agrees to provide to GPA, on a quarterly basis its unaudited financial statements and on an annual basis, its audited financial statements . . . specific to its operations on the Terminals, and a schedule of rates for the Services provided at the Terminals. On an annual basis, Gateway shall provide GPA with its contracts with the ocean carriers that are applicable to GPA.

CX 606-607, Ex. A ¶ 6.

36. Gateway agrees “to apply an annual rate increase for the Services to be effective each October 1st” and to be calculated as provided in Exhibit A. Any “further rate increase . . . shall require the express written consent of GPA.” For example, Gateway may “request to adjust its rates to recover costs incurred through unforeseen circumstances, such as a pandemic,” provided that once the circumstances have passed, the adjusted rates must return to the rates in effect at the outset of the circumstances necessitating the adjustment. CX 606-607, Ex. A ¶ 6.

37. Exhibit C of the Gateway-GPA Agreement states that:

GPA shall designate a certain amount of space near each berth for the purpose of storing equipment used by Gateway to provide vessel Services The size and location of the Storage Area shall be determined by GPA, after having received comments from Gateway regarding the location, size and condition of the proposed area. Except for the equipment being stored in the Storage Area, Gateway shall remove all other equipment, tools and personal property from the Terminal daily. . . .

Gateway shall remove all containers and breakbulk cargo from the dock facilities at the Terminal prior to the earlier of the arrival of a new vessel at berth, or the end of the day. If Gateway is unable to remove breakbulk cargo from the dock as a result of any cause, condition or event which is beyond the reasonable control of Gateway, then Gateway shall promptly notify GPA of the reason therefor, and following receipt of such notice, GPA shall work with Gateway to remove the breakbulk cargo from the dock as soon as practicable.

CX 615, Ex. C ¶ 3(a)-(b).

38. Exhibit D of the Gateway-GPA Agreement states that:

GPA owns certain real and personal properties, including . . . work booths, printers, computers, operating systems and other equipment at each gate located on Terminal. GPA grants permission to Gateway to utilize such facilities in the provision of gate services by recording (i) all transfers of equipment, meaning containers and chassis, entering or

leaving the Terminal by rail or motor carrier, and (ii) the condition of the equipment during each interchange.”

CX 623, Ex. D ¶ 3; *see also* CX 459-460 (Gateway’s 2014 Operating Agreement stating that GPA owns Gate Interchange Facilities at Garden City Terminal and Ocean Terminal and that Gateway would utilize those facilities to “produce all Equipment Interchange Receipt and Trailer Interchange Receipt records,” where “the EIR is a receipt issued by Gateway acknowledging the transfer of equipment into or out of the terminal by rail or truck.”).

39. Per Exhibit D of the Gateway-GPA Agreement, the GPA sets access standards and gate hours, which Gateway is contractually obligated to enforce. CX 623. GPA also “reserves the right to change gate hours based on gate volumes or customer service expectations.” CX 623. Gateway thus provides access to the terminals pursuant to GPA access instructions and validates required documentation needed to enter the terminal as determined by the GPA. CX 623-624; RX 364-367; RX 400; RX 404-405. In addition, Gateway must provide GPA with monthly reports on its gate performance, based on the KPIs set forth in the Gateway-GPA Agreement, and GPA may end the contract if specified KPIs are not met. CX 624 (KPIs for gate performance); CX 589; *see also* CX 612-613 (KPIs for safety performance); CX 616-619 (KPIs for vessel planning).
40. At the Port of Savannah, gate operations are separate from security services. GPA Police are responsible for terminal security and GPA controls who enters and exits their facility through GPA’s security gates, including conducting the security Transportation Worker Identification Credential (“TWIC”) access control biometric scan to allow access to the GPA terminals. Reply at 9 n.14; RX 367; RX 398; RX 405-407 (McCarthy Decl., GPA COO); *see also* CX 589; CX 610-611; CX 623.
41. Prior to an over-the-road (“OTR”) truck driver arriving at GPA terminals, the trucking company’s dispatcher accesses a GPA system that interfaces with the GPA Terminal TOS. The dispatcher creates a PIN for their OTR driver to deliver or receive containers. Gateway, in its gate services role, makes a determination of whether the assigned PIN matches the information in the GPA TOS. If there is an issue with the information that needs to be corrected, the driver is sent to Driver Assistance, operated by GPA, or is referred to the OTR driver’s dispatcher. RX 404-405; *see also* CX 1140 ¶ 30.
42. Thus, it is the Port Authority who determines who will be admitted to the Port of Savannah in a security screening. Afterwards, contractually specified gate services are provided by Gateway, including inspecting inbound and outbound containers for compliance with regulatory requirements set by GPA, and inputting and verifying data about the container as required by GPA, with inconsistent information or problems also being managed by GPA. RX 364-365; RX 404-407; CX 623-624.
43. While containers are assessed a gate fee by Gateway, truckers and cargo owners are not charged upon arrival and departure. The fee is negotiated between Gateway and the ocean carrier and is billed to the ocean carrier on a weekly basis. CX 606 (“Gateway ***shall invoice*** ocean carriers for gate services”) (emphasis added).

44. Gateway does not, and has no authority to, turn away trucks or cargo for nonpayment. RX 365; CX 623-624; CX 606; CX 586-622.
45. Gateway does not, and has no authority to, refuse entry to trucks or cargo on economic or commercial grounds. RX 365; CX 623-624; CX 606; CX 586-622.
46. Prior to its Second Amended and Restated Operating Agreement in 2021, Gateway's principal members were SSA, "MTC, d/b/a Ports America Group" and Ceres, although any qualified stevedoring company that was a new member of the Georgia Stevedore Association could join its organization. CX 459; CX 461; CX 459-473; CX 399 (SSA contributed 1/3 interest in Gateway).

C. Port of Charleston Operations

47. On April 8, 2020, the License Agreement between CSC and SCPA was signed ("CSC-SCPA License Agreement"), making CSC the exclusive stevedoring company at Wando Welch, North Charleston, and Hugh Leatherman Terminals at the Port of Charleston. CX 212; CX 219; CX 221. This agreement took effect as of May 4, 2020, and is set to terminate on December 31, 2029, if not extended. CX 213; RX 387.
48. The CSC-SCPA License Agreement uses as defined terms "Authority" (South Carolina State Ports Authority), "JV" (Charleston Stevedoring Company LLC), and "Port" (Port of Charleston). CX 212.
49. The CSC-SCPA License Agreement states that the SCPA "determined that it would be more efficient for the JV to provide Stevedore Services at the Port rather than having to transact with three stevedoring entities" taking into account factors including: (1) "recent consolidations in the shipping line industry that have created discontinuity between the three stevedoring entities and inefficiencies at the Port, (2) the larger volume of business required for three separate stevedoring entities to optimize efficiencies . . . (3) the fact that each of the three JV partners currently operates with the same workforce, (4) the inefficiencies for the Authority of working with three stevedoring entities that each have their own preferences and procedures which complicate marine terminal operations . . . (6) the duplication of administrative and backroom costs for each of the three stevedoring entities that further create inefficiencies at the Port, (7) the financial and logistical challenges currently facing the three stevedoring entities currently operating at the Port, and (8) the Authority's desire to utilize, and ensure that there is, a long-term viable stevedoring operation at the Port that would result in the most economical and efficient terminal operations[.]" CX 212.

50. Section 2 of the CSC-SCPA License Agreement provides that:

Except as specifically stated herein, all arrangements, services, and charges between the parties and use of the Authority's facilities and terminals shall be governed by the rules, regulations, rates and terms of the Authority's then-current Terminal Tariff/Marine Terminal Operator Schedule . . . as may be amended from time-to-time ["MTOS"] . . . and the MTOS is incorporated by reference and made part of this Agreement.

Discounted MTOS rates, services/rates not listed in MTOS, and other terms and conditions relating to provision of Stevedore Services are outlined in Schedule A attached hereto

CX 213.

51. The CSC-SCPA License Agreement states that “JV will provide Stevedore Services Directly to ocean carriers pursuant to contracts between JV and such ocean carriers” and that “JV shall be the sole provider of the Stevedore Services on the Terminal. . . . The terms and conditions set forth in Schedule A shall apply to such Stevedore Services.” CX 214.
52. Section 6 of the CSC-SCPA License Agreement requires that CSC “shall fully comply with . . . all rules and regulations of the Authority, including those in the Authority’s MTOS” CX 214.
53. The CSC-SCPA License Agreement states that the “parties shall not in any way or for any purpose be deemed to be or become partners, joint ventures, or agents with respect to each other by virtue of this Agreement” and that “[a]ny purported assignment of any rights or delegation of performance under this Agreement without the written consent of the Authority is null and void.” CX 215; *see also* CX 214 (“The parties acknowledge and agree that neither party is an agent or representative of the other, and all employees or laborers employed by either party shall be employees of such party at all times and not of such other party.”).
54. Section 18 of the CSC-SCPA License Agreement provides that the “rights and obligations set forth under this Agreement are consistent with, and in furtherance of, the Authority’s purpose and powers of authority as articulated under applicable South Carolina laws, rules, and regulations, including . . . to improve harbors and seaports, and create long-range port development to maximize economic benefit to the State of South Carolina and increase water-borne commerce.” CX 217.
55. Schedule A of the CSC-SCPA License Agreement details:

JV shall have the exclusive right to perform Stevedore Services at the Authority and to participate, as today, in the Charleston Gate Company (“CGC”) under mutually agreed terms with Container Maintenance Company (“CMC”). CGC will bill the JV for its services, and the current management of the CGC shall be maintained.

JV shall negotiate tariff rates for Stevedore Services and CGC fees for gate services directly with the container shipping lines. JV acknowledges and agrees that rates for Stevedore Services and the Stevedore Services provided at the Authority shall be competitive and bear a reasonable relationship to accepted norms for cost and profit standards for similar services in the South Atlantic port market and will be related to productivity routinely achieved on container ships at the Port and other relevant costs at the Authority.

The Authority and JV shall endeavor to consult with each other and, where applicable, develop guidelines and protocols for the safest, most efficient, and most competitive Stevedore Services in the South Atlantic port market

The Authority will provide space as needed and agreed at its Terminals for JV equipment required for vessel operations.

JV shall procure tractor and trailer equipment from current equipment providers . . . as long as cost is competitive, and quality is maintained. JV shall have the right to provide its own equipment if neither of these standards is met after due consultation with those providers.

. . . .

The Authority will provide access to its marine terminal operating system (“TOS”) on an agreed basis and subject to procedures established between the parties. The TOS access fee for the initial 10-year term of this Agreement shall be One Dollar (\$1.00) per container

JV shall evaluate if the activities of the South Carolina Stevedores Association relevant to container terminal operations can be incorporated into its structure for the purposes of economic, administrative, and managerial efficiency, to allow for the provision of the most cost effective Stevedore Services. This evaluation must be conducted within 12 months of the effective date of this Agreement and a copy provided to the Authority.

JV shall employ highly qualified local management with experience in vessel operations, terminal activities, and waterfront labor relations. JV local management shall not report to local management in a competing maritime port so as to avoid any competitive conflicts.

JV and the Authority shall meet regularly to review the quality and results of Stevedore Services and define areas for improvement. . . .

The JV may request office space from the Authority but maintains no obligation to provide such office space in its facilities unless it is feasible to do so in the Authority’s sole discretion.

Should the JV or any of its members own or operate, or agree to own or operate, a marine container terminal in the State of South Carolina outside of the Authority’s jurisdiction, the Authority shall have the right to cancel this Agreement unilaterally with one hundred eighty (180) days’ prior written notice.

CX 221-223.

56. The CSC-SCPA Master Port Facility License Agreement (“CSC-SCPA Facility Agreement”) was signed on June 5, 2020. CX 198. It uses as defined terms “Ports Authority” (South Carolina State Ports Authority), “Licensee” (Charleston Stevedoring Company LLC), and “Port” (Port of Charleston). CX 180. The CSC-SCPA Facility Agreement term is five years by default, and the agreement “may be terminated by either party, for any reason or no reason at all” upon 90 days written notice to the other party. CX 182.
57. The CSC-SCPA Facility Agreement provides that “the duties of the Ports Authority include the duty to operate, develop, and improve the Port of Charleston . . . to stimulate commerce and foster the import, export and distribution of waterborne freight through the Port, from and to other ports in the United States and around the world; and . . . the Port Authority has determined that granting Licensee a license to use the Facility in order to provide stevedoring services at the Terminal necessary and useful to facilitate the handling and movement of cargo, to, from, and within the Terminal and Port in generating international waterborne commerce, upon the terms and conditions set forth in this Agreement, will enhance commerce through the Ports to the advantage of the citizens of the State of South Caroline.” CX 180.
58. The CSC-SCPA Facility Agreement further provides:

The Port Authority hereby grants to Licensee . . . a license for the use of certain land and improvements located at the Terminal [shown on] Schedule A [the “Facility”], together with a nonexclusive license to use other facilities at the Terminal, as set forth in Section 1.02 of this Agreement, for the purposes and upon the terms stated herein. . . . The parties agree that this Agreement is a license and not a lease and that no estate in real property or other interest in property is created by this Agreement. . . . [T]he Port Authority reserves the right in its sole discretion to relocate the entire Facility, or any portion of the Facility, within the Terminal or Port upon ninety (90) calendar days’ prior written notice to Licensee.

CX 181.

59. Section 1.02 of the CSC-SCPA Facility Agreement states:
- Licensee may use, in common with other users of the Port, passageways between the Facility and highways and other public access to Terminal facilities, driveways and other facilities made available from time to time by the Ports Authority. The Ports Authority shall have the right to change the designated common facilities and to designate certain common facilities for the exclusive use of one or more users of the Port or Terminal so long as such activities do not impair Licensee’s use of the Facility. Use of the common facilities shall be on a first-come, first-served basis, and subject to such rules and regulations as may be adopted from time to time by the Ports Authority, and subject to scheduling of the Ports Authority,

which, in its sole discretion it deems necessary or useful for proper management of the other facilities on the Terminal and at the Port.

CX 181.

60. Section 3.02 of the CSC-SCPA Facility Agreement states:

Except as specifically covered in this Agreement, the use of the Facility and Terminal and all matters, arrangements, services, and charges between the parties shall be governed by the rules, regulations, rates and terms of the Authority's then-current Marine Terminal Operator Schedule . . . as may be amended from time to time, or its successor ("MTOS").

CX 182.

61. The CSC-SCPA Facility Agreement provides that the "Facility shall be used and occupied by Licensee solely for providing stevedoring services at the Terminal necessary and useful to facilitate the handling and movement of cargo to, from, and within the Terminal and Port in generating international waterborne commerce" CX 183-184.
62. The CSC-SCPA Facility Agreement states that "Licensee and all Licensee's agents, employees and contractors shall fully comply with all applicable provisions of the Maritime Transportation Security Act ("the MTSA") and all applicable policies, procedures, and regulations of the Ports Authority and the Department of Homeland Security pertaining to security and operations at the Port and the Terminal." CX 184. The agreement provides as well that "Licensee shall fully comply with all rules and regulations of the Port Authority, including those in the Ports Authority's MTOS" CX 184.
63. Section 6.01(a) of the CSC-SCPA Facility Agreement states "Licensee shall, at Licensee's expense, be responsible for all maintenance and repairs of the Facility." CX 186. Section 6.02(a) of the agreement provides "Licensee shall not make any material alterations, renovations, improvements or other installations in, on or to the Facility or any part thereof (including, without limitation, any alterations of the entrance way(s) or signs, structural alterations, or any cutting or drilling into any part of the Facility or any securing of any fixture, apparatus, or equipment of any kind to any part of the Facility) . . . until Licensee . . . shall have obtained the Ports Authority's written approval thereof" CX 187. Section 6.02(c) states "All improvements and additions made by or for Licensee shall be deemed part of the Facility, shall remain at the Facility, and shall be surrendered to the Ports Authority at the expiration or earlier termination of this Agreement, unless the Ports Authority shall elect to have Licensee remove all or any portion of such alterations, additions, or improvements" CX 187.
64. The 2015 Charleston Gate Amended Operating Agreement provides:
- the Members have separately operated at the South Carolina State Port Authority . . . in their separate operations Members SSA and Ceres have each performed certain functions known as 'TIR Functions,' which

primarily involve checking containers into and out of the Port and assigning temporary storage locations for each container; . . . these Members have each incurred substantially identical costs in performing such TIR Functions; . . . these Members compete for the overall business of customers at the Port, but do not compete simply for a customer's TIR Functions; . . . the Members have previously formed this [company] known as Charleston Gate, L.L.C. for the purpose of hiring and managing labor to perform the TIR Functions at the Port As the purpose of the Company is to hire and manage labor to perform the TIR functions at the Port, and these TIR functions primarily involve checking containers into and out of the Port and assigning temporary storage locations for each container, as well as inspecting and making necessary repairs to containers, the powers and duties of the Members shall be limited to those powers and duties necessary to accomplish this purpose.

RX 273-275.

65. Charleston Gate Company's gate services consist primarily of performing equipment interchange functions. In this role, Charleston Gate Company follows the interchange transaction guidelines issued by SCPA, including to provide documentation to the truck driver and to update SCPA's TOS. RX 377; *see also* Britt Decl. at 5 (filed June 13, 2023 and accepted into evidence by June 20, 2023, Order).
66. Prior to an over-the-road ("OTR") truck driver arriving at SCPA terminals, the trucking company's dispatcher accesses a SCPA system that interfaces with the SCPA TOS. The dispatcher creates a PIN for their OTR driver to deliver or receive containers. Charleston Gate makes a determination of whether the assigned PIN matches the information in the SCPA TOS. Britt Decl. at 8.
67. Charleston Gate Company invoices CSC for the equipment interchange services, and CSC in turn invoices those who receive the equipment interchange services. Britt Decl. at 5.
68. Specifically, CSC charges a gate fee per vessel throughput for gate services. These fees are set forth in CSC's negotiated rate sheets with carriers and are billed to carriers directly. RX 374 (Haigler Decl., CSC VP).
69. As a sample, a rate sheet between CSC and Hapag Lloyd, effective October 1, 2020 to September 30, 2021 specified: "Payment terms are 30 days from date of invoice. Any payment not received within thirty (30) days of receipt of the invoice shall accrue penalty and interest charges from the thirty first (31st) day at the rate of two percent (1.0%) [sic] per month, which will apply to any outstanding balance." CX 254.
70. Prior to CSC, SCPA charged customers directly for gate services. RX 374.
71. At the Port of Charleston, gate services are separate from security services. Screening of persons and vehicles arriving at the terminal is performed by port police at a SCPA

security gate at the terminal entrance. Reply at 9 n.14; RX 377. If granted access by SCPA, Charleston Gate Company afterwards provides contracted gate services. RX 377.

- 72. CSC does not, and has no authority to, turn away trucks or cargo for nonpayment. RX 377; CX 221-223; CX 212-220.
- 73. CSC also does not, and has no authority to, refuse entry to trucks or cargo on economic or commercial grounds. RX 377; CX 221-223; CX 212-220.

D. 2019 FMC Submission

- 74. In 2019, SSA, Ceres, and Ports America Florida (“2019 Parties”) sought to establish a joint venture, which would serve as the exclusive vessel stevedoring provider across the Port of Charleston and the Port of Savannah. CX 1103.
- 75. The 2019 Parties filed their proposed agreement with the Commission in March 2019 (“2019 FMC Submission”). CX 1100. The agreement, titled “Georgia - South Carolina Marine Terminal Operator Cooperative Working Agreement” proposed the formation of a new entity, NEWCO, “to provide container marine terminal services and stevedoring in the ports of Savannah, Georgia and Charleston, South Carolina.” CX 1103. NEWCO was to be owned in equal one-third shares by Ceres, SSA, and PAF. RX 117.
- 76. On April 2, 2019, the Commission acknowledged the submission, designating this proposal as FMC Agreement No. 201293. RX 111.
- 77. In their 2019 FMC Submission, the parties, SSA, Ceres, and Ports America Florida, indicated that they were marine terminal operators and that NEWCO would operate as a marine terminal operator in the Ports of Savannah and Charleston. CX 1103-1104.
- 78. The 2019 FMC Submission specified:

4.2 NEWCO shall provide marine terminal services and conduct container stevedoring, terminal, container freight station, and activities incidental thereto, at the Ports. Specifically, the Parties agree that, during the term of this Agreement, NEWCO will assume responsibility for providing those facilities and services currently provided by the Parties in their individual capacity in the Ports, including marine terminal gate operations and vessel loading and unloading operations, and the operation of equipment and technology related thereto.

4.3 NEWCO and the Parties expect to enter into long-term license agreements with each of the Ports for the use of facilities in those Ports. Such agreements will detail the services to be provided by NEWCO . . . (e.g., marine terminal gate and vessel loading and unloading operations) and those facilities and services which currently are, and will remain, under the control of the Ports (e.g., operation and manning of cranes and container yard areas)

CX 1104.

79. SCPA submitted comments in support of proposed FMC Agreement No. 201293, noting “Each of the partners has consistently expressed concerns to us over the long-term viability of their stevedoring operations in terms of both profitability and growth potentialThe ocean container carrier industry has consolidated from over 20 carriers to less than 10 in the last few years [W]e believe that a JV stevedoring company in Charleston is a logical and compelling response to overall container industry consolidation and fully support its establishment.” RX 113-114.
80. SCPA noted among the benefits of the proposed joint venture the: “Reduction in overhead from the consolidation of fragmented and less efficient companies; Enhancement of the interface between terminal operations and the stevedoring operations through a common and consistent approach to such operations and utilization of a common system; More predictability in volumes leading to a more capable and effective organization; . . . [and] Enhanced integration with Charleston Gate Co. LLC, a joint venture between the stevedores and Container Maintenance Corp to run our gate complex. In future, the stevedore JV will incorporate the gate company in its overall cost structure for invoicing to the lines.” RX 114.
81. On May 9, 2019, the Commission issued a Request for Additional Information. RX 132.
82. The 2019 Parties provided an Initial Joint Response to Request for Additional Information on June 22, 2019. RX 155; RX 116-130. The response included the following questions and answers:

8- Although the Parties’ responses to staff’s preliminary questions acknowledge that the two port authorities at the Ports of Charleston and Savannah own and control much of the terminal infrastructure, the Parties assert that their activities are within the Commission’s jurisdiction. Please explain in detail how each Party meets the definition of a “marine terminal operator” at each of the ports, specifically how each Party provides “wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier” at each port . . .

The parties qualify as marine terminal operators in the ports . . . because of their operational control and staffing of key terminal infrastructure (i.e., the terminal gates), their control over access to the terminal facilities, their provision of essential services (including checking, recognized by the Commission to be a marine terminal service, as well as yard planning and stevedoring), and their assessment and collection of gate fees.

. . . .

9. Is it the Parties’ position that each Party’s current activities at the Ports of Charleston and Savannah are subject to the Commission’s jurisdiction and the relevant requirements and prohibitions applicable to

marine terminal operators under the Shipping Act and the Commission's regulations? Please explain why or why not.

. . . [I]t is our position that the Parties are marine terminal operators in the Ports currently, and will continue to be MTOs going forward after the agreement takes effect. While there may be some uncertainty arising from a prior agreement filing submitted by the parties in 1998, we do not view the opaque disposition of that agreement to be controlling in this case.

In 1998, the Parties took the position that their operations, and particularly their joint control of gate operations, were subject to the Commission's jurisdiction. Accordingly, the Parties filed Agreement No. 201067, *Gateway Terminals, LLC*, which covered the establishment of the Savannah gate company. However, at that time a determination apparently was made at the Commission that the agreement was not subject to the Shipping Act. There appears to be no formal decision or other final agency action setting out the reasons for this jurisdictional determination. Accordingly, we continue to believe that, if the issue were to be fully adjudicated, the Parties' operations would be found to be within the Shipping Act's scope.

. . . .

15. How will NEWCO reduce operational inefficiencies, yard congestion, and vessel delays at the ports of Savannah and Charleston if the Agreement were to go into effect?

Having multiple stevedores operating in the same facility inevitably introduces inefficiencies and disruption. The formation of NEWCO will enable the three constituent companies to standardize processes around best practices and leverage a single technology platform for the combined operations. . . .

19. Do either the Georgia Ports Authority or the South Carolina Ports Authority currently have any oversight on rate setting for gate or stevedoring services at their facilities? If so, please describe.

Rate setting for stevedoring services currently is performed by the Parties, independent of SCPA and GPA oversight. Similarly rates for gate services or TIR in Savannah are set by Parties, independent of GPA. In contrast, in Charleston, currently SCPA determines the rates for gates services or TIR in Charleston.

It is expected that NEWCO will establish gate rates for each port in the future, with input from each of the port authorities; however, agreements with the port authorities have not been finalized or adopted yet.

Carrier billing is performed by Parties for stevedoring and gate services in Savannah, with stevedoring billed by Parties and gate services billed by SCPA in Charleston. It is planned that NEWCO would perform both services (stevedoring

and gate services) in both locations, producing billing for both stevedoring and gate in Charleston and Savannah, although no formal agreements with the ports have been adopted to date.

....

30. Please identify any other U.S. ports in which any of the Parties provide stevedoring and/or gate services, and where another party operates the marine terminal. Please describe the relationship between the Party and the terminal operator in these instances.

Container Terminals	Stevedore	Gate Operator	Marine Terminal Operator
Charleston, SC	Ceres, Ports America, SSA	CHS Gate	Port Authority
...			
Savannah, GA	Ceres, Ports America, SSA	Gateway	Port Authority

....

The role of the Parties in ports such as Savannah and Charleston, where the Parties control the gates, is significantly different from their role in ports where they have no control over gate operations (and therefore act solely as stevedores) such as Norfolk and Houston. In Norfolk and Houston, the Parties' role is to load and unload containers between the vessel and the point of rest. In contrast, in Savannah and Charleston, the Parties exercise control over access to the terminal itself, as well as playing a significant role in yard planning and moving cargo within the facility. This more expansive role requires closer cooperation with the port authority, and allows for more efficient and integrated gate/yard/vessel operations.

RX 119-130 (formatting in original).

83. The Commission's then-General Counsel Tyler Wood issued an opinion letter on August 6, 2019 ("Opinion Letter"), stating "It is the opinion of OGC that, based on the materials provided, the Parties to the agreement do not appear to be MTOs as defined by the Shipping Act of 1984, and that this agreement therefore falls outside of the Commission's jurisdiction. This opinion is that of OGC alone and is nonbinding on the Commission." RX 157.

84. The Opinion Letter reasoned:

The Shipping Act, the Commission's regulations, and the *Plaquemines* case make clear that an entity must have some level of control over physical terminal assets in order to meet the MTO definition; performing services alone is insufficient. . . . [T]he fact that the Parties perform services at the Ports, including services defined in Commission regulations as "marine terminal services," is not enough to establish that they are MTOs under the Act.

In this case, it appears that the Parties do not exercise sufficient "control" over any terminal facilities to render them MTOs under the Shipping Act at either Port. Their primary activities consist of stevedoring services provided to the carriers, and, as noted by the Parties, the Commission does not consider stevedores to be MTOs under the Act. See Final Rule: Exemption of Certain Marine Terminal Arrangements, 57 Fed. Reg. 4578, 4581 n.16 (Feb. 6, 1992) ("The Commission does not assert or claim jurisdiction over stevedoring activities."). And none of the other services listed by the Parties involve the exercise of control over terminal facilities. Although some of the services described are performed at the gates, which might be considered terminal facilities, the Parties' description indicates that the Ports own the gates, and the Gate Companies merely perform services at those locations (e.g., inspecting cargo, providing directions to truckers). In other words, it does not appear that the services provided by the Gate Companies are directly connected to the use of terminal facilities, akin to providing wharfage, dockage, or warehousing. . . . Additionally, nothing in the information provided by the Parties suggests that they have the ability, like the port authority in *Plaquemines*, to condition access to the gates or the terminals on payment of fees for their services.[3]

For the foregoing reasons, it is the opinion of OGC that the parties to the Georgia - South Carolina MTO Cooperative Working Agreement do not appear to be MTOs under the Act at the Ports and, therefore, the Agreement is not subject to the Commission's jurisdiction. . . .

n3. The parties assert that they "control access to the terminal," but this appears to refer to the mere fact that truck traffic must pass through the gates to enter the terminal.

RX 160-161.

85. The 2019 Parties elected not to appeal the letter and, instead, formally withdrew the proposed agreement from the Commission's consideration by letter to the General Counsel dated September 9, 2019. RX 163. The 2019 Parties then changed course, and NEWCO was not formed. Instead, separate port-specific JVs were formed at the Port of Savannah and the Port of Charleston, as detailed above. *See, e.g.*, FOF 4-6, 10-12.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Status of Ports America Florida

Respondents assert, regarding Ports America Florida, that it operates only in ports in Florida, and not in the terminals at issue in this case. Opposition at 13. ILA acknowledges that:

Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. Discovery has revealed, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented. Regardless, this brief will show that all the contracting parties were marine terminal operators in the Ports at all relevant times before and after the joint venture. This brief will use the term “Ports America” to include the Ports America affiliate operating in Savannah and Charleston.

Brief at 1 n.1 (citation omitted).

This decision only addresses the parties named in the complaint. ILA could have amended its filing and added the correct entity. Further, ILA was on notice since at least May 9, 2022, that Ports America Florida was not operating at the ports at issue in this proceeding. Respondents’ Motion to Dismiss at 3-4 (May 9, 2022). However, given the facts already developed and the outcome, it is unlikely that naming a different Ports America entity would have changed the outcome.

2. Discovery Issues

ILA asserts that Respondents have refused to provide necessary discovery; and that it has received no documents from Ports America Florida. Brief at 3-8; Reply at 18-23. Respondents contend they have complied with their jurisdictional discovery obligations. Opposition at 27-37.

Regarding PAF, as already discussed, ILA is aware that “another Ports America affiliate” – not Ports America Florida – “is currently the contracting party in the joint ventures as actually implemented.” Brief at 1 n.1. Further, ILA was specifically allowed, and has received, discovery “limited to how the subject terminals operate at the two ports in question.” *See* Bifurcation Order at 4. The evidence generated has been both appropriate and sufficient to resolving the jurisdictional question at issue here. No detrimental impact on the proceedings or on ILA has been shown. As noted earlier in this proceeding, the reason for addressing jurisdiction ahead of the merits was to avoid unnecessary discovery in the event that no jurisdiction was found. That has turned out to be the case.

3. Burden of Proof

ILA asserts that in cases such as this one, where jurisdiction is being decided based on affidavits and discovery material without holding an evidentiary oral hearing, the ILA has the

burden of making out a *prima facie* showing of personal jurisdiction over Respondents; and conflicts between the facts contained in the parties' affidavits must therefore be resolved in the ILA's favor. Brief at 8. Respondents contend that ILA must prove its case by a preponderance of the evidence; this case is not pending before the Presiding Officer on a motion to dismiss; and that nothing in the Commission's rules or precedent requires an evidentiary hearing to decide a contested question of jurisdiction. Opposition at 4-5.

It is well established that to prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

The bifurcation order did not raise the question of jurisdiction in the context of a motion to dismiss. As was stated in the Bifurcation Order:

I am mindful that Complainant has the burden to prove that the Commission has jurisdiction, and as noted by Judge Wirth and the undersigned, such a determination would be clearer after discovery. Consequently, Complainant should be allowed discovery on that issue, and a scheduling order that allows for limited discovery on the jurisdictional issue, followed by briefing on that issue alone, will be helpful in determining whether the Commission has jurisdiction based on facts, rather than assertions alone.

Bifurcation Order at 3. ILA was therefore allowed discovery "limited to how the subject terminals operate at the two ports in question." Bifurcation Order at 4. The Order also stated: "even if only one of the named Respondents is demonstrated by the jurisdictional discovery to be an MTO, the case will proceed to discovery on the merits and the parties will be given an opportunity to submit briefs limited to the Shipping Act violations alleged to have occurred." Bifurcation Order at 4.

Commission Rules make explicit that for private party complaints, the "Presiding Officer will determine whether an oral hearing is necessary." 46 CFR § 502.62(a)(5). Here, the undersigned judge determined that an oral hearing was not necessary. ILA must prove its case by a preponderance of the evidence in order to prevail.

B. Legal Standard for Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant

to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 999, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

ILA alleges violations of the Shipping Act by Respondents, which it asserts to be marine terminal operators. The Shipping Act makes clear that the Commission has jurisdiction over marine terminal operators. 46 U.S.C. § 41106 (“A marine terminal operator may not”); 46 U.S.C. § 41102(c) (“A common carrier, marine terminal operator, or ocean transportation intermediary may not”). The question to be resolved, therefore, is whether ILA has established that at least one of Respondents is a marine terminal operator such that FMC has jurisdiction over this proceeding.

The Shipping Act defines a marine terminal operator (“MTO”) as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier.” 46 U.S.C. § 40102(15); *see also* 46 C.F.R. § 525.1(c)(13). The Shipping Act does not define “terminal facilities,” however the term is defined in Commission regulations as:

[O]ne or more structures comprising a terminal unit, which include, but are not limited to docks, berths, piers, aprons, wharves, warehouses, covered and/or open storage spaces, cold storage plants, cranes, grain elevators and/or bulk cargo loading and/or unloading structures, landings, and receiving stations, used for the transmission, care and convenience of cargo and/or passengers in the interchange of same between land and ocean common carriers or between two ocean common carriers.

46 C.F.R. § 525.1(c)(18).²

The Commission examines an entity’s MTO status based on the specific facility at issue in the dispute. *Auction Block Co. v. City of Homer*, Docket No. 12-03, 2014 WL 5316337, at *5 (FMC Aug. 12, 2014) (aff’d sub nom. *Auction Block v. FMC*, 606 Fed. Appx. 347 (9th Cir. 2015) (affirming the Commission’s interpretation of the definition of ‘marine terminal operator’ as calling for a facility-specific analysis); *see also Puerto Rico Ports Auth. v. FMC*, 919 F.2d 799, 802-03 (1st Cir. 1990) (“[w]hile PRPA may furnish terminal facilities at San Juan and Mayaguez, the Commission properly did not base its jurisdiction on those activities.”).

What constitutes a marine terminal operator was discussed in a series of cases involving harbor fees at Plaquemines Port in Louisiana. The issue was whether Plaquemines Port, which neither owned nor operated the port’s marine terminal facilities, was nevertheless a marine

² The term “Marine terminal facilities” is also defined in Commission regulations, but in part 535 - Ocean Common Carrier and Marine Terminal Operator Agreements Subject to the Shipping Act of 1984. This decision does not evaluate the propriety of an agreement under the Shipping Act. Rather, at issue is whether Respondents are marine terminal operators. Therefore, the definition at 46 C.F.R. § 525.1(c)(18) is the more relevant definition.

terminal operator. *Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist.*, Docket No. 79-45, 25 F.M.C. 73, 21 S.R.R. 219 (ALJ Nov. 17, 1981) (“*Plaquemines - ALJ*”). Key facts included that Plaquemines Port had administrative authority and control over the private wharves and terminal facilities as a function of Louisiana Law, and Plaquemines Port used this authority to assess fees covering such items as police, fire, and ambulance services. *Plaquemines - ALJ*, 25 F.M.C. at 85, 124, 126. Plaquemines Port had superimposed its tariff fees upon the charges (both contract and tariff) of the private terminal facilities located in the Port. *Plaquemines - ALJ*, 25 F.M.C. at 134. Plaquemines Port had also written explicit rules providing it with authority to deny entrance to entities who did not pay Plaquemines Port’s tariffs. *Plaquemines - ALJ*, 25 F.M.C. at 96 (for example, Item 130, “Penalties for Violation” of the tariff provided: “It shall be unlawful for any person, firm, or corporation to utilize or make use of the Plaquemines Port, Harbor and Terminal District or any of its facilities without paying to the District the proper toll, charge or fee therefore as fixed and specified in this tariff . . .”).

The ALJ found Plaquemines Port to be a marine terminal operator, and subject to the Commission’s jurisdiction, explaining: “***Plaquemines Port conditions the use of these private terminal facilities upon the payment to Plaquemines Port of its harbor fee and supplemental harbor fee. If these fees are not paid, Plaquemines Port will bar, or attempt to bar, the use of these private facilities to the shipping public***” adding that in “so conditioning the use of these private facilities, Plaquemines Port controls their use, and control is the key factor.” *Plaquemines - ALJ*, 25 F.M.C. at 134 (emphasis added).

The Commission affirmed the ALJ’s finding of jurisdiction over Plaquemines Port, similarly highlighting the extent of Plaquemines Port’s control over terminal facilities:

[I]t is the control of terminal rates and practices which constitutes ‘furnishing’ terminal facilities and confers Commission jurisdiction. Conditioning access to a port’s private facilities upon the payment of a charge for governmental services reflects ***significant threshold control*** over terminal facilities. . . .

The combination of the Port’s exclusive ability to furnish such terminal services, its assessment of selective transfer cargo fees and its control of access to the private facilities results in ***fundamental control*** over the rates and practices of terminal facilities.

Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist., Docket No. 79-45, 25 F.M.C. 59, 66-67, 21 S.R.R. 1072, 1080 (FMC July 30, 1982) (“*Plaquemines - FMC*”) (footnotes omitted; emphases added). In a subsequent case concerning Plaquemines Port, the Commission reaffirmed its finding of jurisdiction, stating:

To reiterate those findings, the Port is a ‘marine terminal operator’ subject to the 1984 Act, because its exclusive ability to provide essential health, safety and security services to vessels and cargo interests in commercial cargo handling transactions, its assessment of selective cargo transfer fees, and its control of access to private terminal facilities results in fundamental control over the rates and practices of terminal facilities. Further, the Port’s practice of assessing, on the basis of cargo transactions, a fee for providing to vessels and cargo essential

health, safety and security services constitutes the furnishing of ‘other terminal facilities’ within the meaning of the 1984 Act.

New Orleans Steamship Assoc. v. Plaquemines Port, Harbor & Terminal Dist., Docket No. 83-2, 1986 WL 170020, at *5 (FMC Sept. 16, 1986) (“*Plaquemines II - FMC*”). The DC Circuit concurred with the Commission, stating:

Since the Port assessed a fee for its essential services ancillary to the facilities and ***conditioned access to the private facilities within its jurisdiction upon payment of that fee***, the FMC found a ‘furnishing’ of the facilities. . . .

We agree with the FMC that the Port’s combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities.

Plaquemines Port, Harbor & Terminal Dist. v. FMC, 838 F.2d 536, 543 (D.C. Cir. 1988) (“*Plaquemines II - DC Cir.*”) The DC Circuit also explained: “The DOJ argues that upholding FMC jurisdiction over the Port could result in the FMC controlling the fire and emergency services of every waterside city in America. This argument is overstated. Waterside cities will not automatically or accidentally fall into FMC jurisdiction. Only if such ports begin to charge a fee for their services ***and to control access to private facilities to enforce their charges*** will today’s decision bring them within the jurisdiction of the FMC.” *Plaquemines II - DC Cir.*, 838 F.2d at 543 (footnote omitted).

The Commission considered and found marine terminal operator status to be present as well in *Petchem v. Canaveral Port Authority*, where the Canaveral Port Authority had denied a tug operator’s application for a non-exclusive franchise. Docket No. 84-28, 1986 WL 170038 (FMC Mar. 28, 1986) (aff’d sub nom. *Petchem v. FMC*, 853 F.2d 958 (D.C. Cir 1988)).³ The complainant in that case argued that the Port Authority’s denial of its application for a non-exclusive franchise to provide commercial tug and towing services at Port Canaveral was an unreasonable practice violating the Shipping Act. *Petchem*, 1986 WL 170038, at *1. In *Petchem*, the Commission first looked at whether the respondent, Canaveral Port Authority, was a marine terminal operator, and found that it was. However, this status was ***not*** based on a “furnishing of terminal facilities.” Rather, the Commission found marine terminal operator status based on Canaveral Port Authority’s service of common carriers offering cruise transportation to passengers. *Petchem*, 1986 WL 170038, at *4. Having determined that the Port Authority was an MTO, the Commission ***then*** evaluated whether the activities in question amounted to the “furnishing of terminal facilities” for purposes of establishing subject matter jurisdiction. The Commission explained “our jurisdiction over *Petchem*’s complaint ultimately must rest on findings that the Port Authority’s control over tug services through its franchise system represented furnishing of ‘terminal facilities,’ and that such furnishing was in connection with common carrier service at the Port.” *Petchem*, 1986 WL 170038, at *6 (adding that the “Port Authority’s exclusive franchise system for tug operations extends the Port’s furnishing of

³ The D.C. Circuit affirmed the Commission’s decision, however, it did not specifically review jurisdiction.

terminal operations from the pier onto the waters of the harbor.” *Petchem*, 1986 WL 170038, at *12).

The First Circuit subsequently addressed related questions of MTO status in *Puerto Rico Ports Authority* (“PRPA”), evaluating the status of the Puerto Rico Ports Authority, which had assessed certain harbor fees against vessels.⁴ *Puerto Rico Ports Auth. v. FMC*, 919 F.2d 799, 802-03 (1st Cir. 1990). The First Circuit reached a different conclusion, however, holding that PRPA was not an MTO and had not subjected itself to the jurisdiction of the Commission, through the imposition of a harbor service fee at the Port of Ponce. *Puerto Rico Ports Auth.*, 919 F.2d at 802-03. The Court reasoned that, “[t]o support the exercise of Commission jurisdiction, it must be determined initially that the one providing the service is a marine terminal operator – in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier,” emphasizing that “PRPA, under any plausible interpretation, is not in the ‘business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier’ at the Port of Ponce” where “PRPA’s sole function at Ponce is to provide such general harbor services as law enforcement, radio communications, harbor cleaning, and port captain services.”

The First Circuit also asserted that its decision did not conflict with the DC Circuit’s *Plaquemines* decision, because *Puerto Rico Ports Auth.* was distinguished on a factual basis, stating:

We believe that the Commission’s reliance on *Plaquemines II* in the instant case is misplaced. The ***Port in Plaquemines II had complete control over the private terminals***, including the amount of fee the terminals charged. The Commission found that Plaquemines Port administered and controlled all privately owned docks and wharves within its geographical jurisdiction. The Port had ***complete control over the fees and charges levied by the owners of private terminal facilities***. Through its ***plenary control over the private terminal facilities***, the ***Port became a de facto terminal operator***. . . .

Since we conclude that PRPA did not exercise the type of plenary control over Ponce terminal facilities that the Port exercised over private terminal facilities in *Plaquemines II*, we need not consider the mode of statutory analysis employed by the Commission and the District of Columbia Court of Appeals.

919 F.2d at 806 (emphases added). In more recent reflections on *Plaquemines*, the Commission has emphasized the criticality of the relevant entity actually exercising control, stating: “An essential element in *Plaquemines* was that Plaquemines Port had ***actually exercised control*** by implementing a tariff rule that effectively denied access to private facilities as a consequence of non-payment.” *Lake Charles Harbor and Terminal Dist. v. West Cameron Port, Harbor &*

⁴ PRPA’s tariff defined “port service charges” as “[t]he charge assessed against a vessel for entering a port and receiving the benefit of general services rendered by the Ports Authority such as contribution to maintenance dredging and construction of dykes, Port Captain office services, lookout station, radio communication, harbor cleaning, law enforcement and others[,]” and vessels were assessed port service charges based on their gross tonnage. 919 F.2d at 800-801.

Terminal Dist., Docket No. 06-02, 2007 WL 2468431, at *5-6 (FMC Aug. 2, 2007) (emphasis added) (and concluding that “unlike the situation in *Plaquemines*, it has not been shown that [West Cameron Port] is offering essential services and controlling access to private facilities through the enforcement of fees.” 2007 WL 2468431, at *6).

Therefore, in this proceeding, to establish marine terminal operator status at a particular port, via a “furnishing of terminal facilities,” two factors are considered: (1) does the entity offer essential services; and (2) control, including (a) whether the entity controls access to private facilities to enforce its charges and (b) whether the entity exerts significant control.

In addition, because the Commission examines an entity’s MTO status based on the specific facility at issue, Respondents’ MTO status will be assessed by considering activities at the specific facilities where they are alleged to have breached the Shipping Act. *Auction Block*, 2014 WL 5316337, at *5. Therefore, consideration of MTO status at the Port of Savannah will be based on activities at Garden City Terminal and South Terminal, and consideration of MTO status at the Port of Charleston will be based on activities at Wando, North Charleston, and Leatherman Terminals.

C. Parties’ Arguments

ILA asserts that as the exclusive provider of stevedoring and checking services, Respondents can condition access to the terminals based on payment of their fees; Respondents can condition access to the terminals because of their control over the gates; Respondents operate terminal facilities in Charleston and Savannah; and Respondents jointly control the terminal facilities in Charleston and Savannah with the port authorities. Brief at 9-27; *see also* Reply at 6-18. ILA generally argues that Respondents should be found to be marine terminal operators based on *Plaquemines*, but also points to *Petchem* contending that Respondents’ provision of exclusive services constitutes the furnishing of terminal services, providing the Commission with jurisdiction. *See, e.g.*, Brief at 11-12; Reply at 7.

Respondents assert that the Shipping Act’s definition of marine terminal operator is narrow; the control theory of terminal jurisdiction is inapplicable here; the General Counsel correctly applied the relevant precedent; and each of PAF, SSA, Ceres, Gateway, and CSC is not a marine terminal operator in either the Port of Charleston or the Port of Savannah. Opposition at 5-27.

D. Analysis

First, the combination of Respondents’ stevedoring and gate services will be considered to evaluate whether such activities establish personal jurisdiction under the control theory as applied in *Plaquemines* and subsequent cases. In particular, Gateway’s activities will be discussed at the Port of Savannah, and CSC’s activities will be discussed at the Port of Charleston. Because neither of these entities’ activities are found to meet the threshold needed for personal jurisdiction, there is no need to discuss in depth the activities of Ceres, SSA, and Ports America Florida, since their activities at the relevant ports are less significant (or in the case of PAF, non-existent) and display yet far less control, as demonstrated in the findings of fact. Second, ILA’s argument that Gateway and CSC’s provision of exclusive stevedoring

confers jurisdiction will be addressed. Finally, ILA's allegations that individual Respondents operate terminal facilities via warehousing or otherwise will be addressed.

As a foundational point, both parties cite to documents regarding the 2019 proposed MTO agreement, which was submitted to the Commission, but then ultimately withdrawn after the general counsel's determination that parties to the proposed agreement did not appear to be MTOs. FOF 75, 83-85. As was stated in multiple earlier orders, that outcome is not determinative of the outcome here. June 23, 2022, Order at 3; Bifurcation Order at 2-4. Assertions made in 2019, that parties to the submission believed themselves to be marine terminal operators does not dispose of the issue. Neither does the general counsel's determination that the parties were not MTOs resolve this question, both because the precise agreement under review was never put into effect, and because, as the letter indicated, the opinion was that of the general counsel and not binding on the Commission. The general counsel's analysis did, however, highlight key factors, which will be freshly evaluated here in light of the facts now developed in the record, including the overall level of control exhibited by Respondents and whether Respondents condition access to the terminals based on payment of fees for their services.

As explained below, to the extent that Respondents exercise control, they only do so to the extent permitted by the port authorities, who ultimately own and control these facilities. The port authorities are not parties, and the ILA cannot undo the agreements between the port authorities and their service provider through this Shipping Act complaint, which only names the service providers. Indeed, to the extent that ILA members believe the market would be more competitive with multiple stevedores at these ports, the decision to consolidate was made by the port authorities, not these parties. Moreover, the public port authorities provided considered justifications for those decisions. FOF 24, 49.

1. Stevedoring & Gate Services

To assess whether any of Respondents can be considered MTOs under *Plaquemines*, at the Port of Savannah or the Port of Charleston, two factors are considered: (1) do Respondents offer essential services; and (2) control, including (a) whether Respondents control access to private facilities to enforce their charges and (b) whether Respondents exert significant control.

First, looking at Gateway's activities at the Port of Savannah, there is no dispute that Gateway provides exclusive vessel stevedoring and exclusive gate services pursuant to the GPA-Gateway Agreement. FOF 23. While the agreement assures Gateway the authority to negotiate stevedoring and gate services pricing with carriers, it otherwise consistently subjects Gateway to the authority of GPA. FOF 25-39. For example, Gateway agrees to adopt and incorporate GPA's Marine Terminal Operator Schedule, other than as specified in the agreement. FOF 26. Gateway's pricing authority is also circumscribed in numerous ways, including GPA's option at the effective date of the agreement to veto any prices it deems not to be competitive, and Gateway's subsequent requirement to "amend its rates as required to satisfy GPA's regulatory concerns" or be deemed in material breach of the agreement. FOF 34. Gateway is further bound by the price increase and decrease formulas detailed in the agreement, in addition to having to provide all carrier contracts to GPA annually, plus having to provide all rate sheets quarterly. FOF 35-36. As well, Gateway is under GPA's clear authority with regard to metrics. First,

Gateway must provide to GPA monthly a long list of metrics covering KPIs for safety, vessel operations, and gate services. FOF 28, 39. The GPA-Gateway Agreement then provides that if certain KPIs are not met, GPA may cancel the contract at any time. FOF 39. It is also clear that the gate services provided by Gateway are not the equivalent of security services. FOF 40. Gateway provides access to the terminals pursuant to GPA access instructions, at hours set by GPA, and validates required documentation as determined by GPA. FOF 39, 42. Meanwhile, security services are handled by GPA's police, who ultimately determine who may enter and leave the port's terminals. FOF 40. Importantly, while Gateway invoices carriers for stevedoring and gate services, Gateway has not been shown to have any kind of authority to exclude truckers or carriers for failure to pay fees. FOF 43-45. Neither has Gateway been shown to have so acted, in the absence of such authority. FOF 44-45. As the GPA-Gateway Agreement states clearly, no partnership, joint venture, or employee/employer relationship is created by virtue of the agreement. FOF 28. Rather, GPA is the marine terminal operator and Gateway is a third-party service provider. FOF 26, 28.

Next, looking at CSC's activities at the Port of Charleston, again there is no dispute that CSC provides exclusive vessel stevedoring pursuant to the CSC-SCPA License Agreement. FOF 51, 55. But unlike at the Port of Savannah, CSC has not also been made the exclusive provider of gate services. FOF 55, 64-65. Rather, the Charleston Gate Company continues to provide TIR services, consisting of checking containers into and out of the Port and assigning temporary storage locations for each container, while CSC's role allows it to negotiate gate services rates with carriers. FOF 55, 64-65. But here, too, the relevant agreements make clear that CSC is subject to the authority of SCPA. CSC agrees to adopt and incorporate SCPA's Marine Terminal Operator Schedule, other than as specified in the agreement. FOF 50, 60. CSC is also bound to follow all SCPA rules and regulations generally. FOF 60, 62. The agreements further make clear that SCPA decides what space CSC may use for vessel stevedoring and can change that at any time; and that SCPA owns the facilities, including the gates. FOF 58-59. CSC must also confer with SCPA in pursuit of achieving "the safest, most efficient, and most competitive" stevedore services in the South Atlantic port market. FOF 55. Also, at the Port of Charleston, there is a clear distinction between gate services and security services, the latter of which are handled by SCPA's police. FOF 71. The police perform the initial check at the security gates; afterwards, if admitted by SCPA police, Charleston Gate provides gate services. FOF 71. In addition, like Gateway at the Port of Savannah, CSC has not been shown to have any kind of authority to exclude truckers or carriers for failure to pay fees. FOF 72-73. Neither has CSC been shown to have so acted, in the absence of such authority. FOF 72-73. As the agreements further make clear, no agency, partnership, or joint venture is created between SCPA and CSC; rather SCPA is the marine terminal operator and CSC is a service provider. FOF 50, 52-53, 55.

a. Do Respondents Offer Essential Services?

Against this factual backdrop, the first question to be asked is whether Gateway and CSC offer essential services. As noted, there is no dispute that Gateway provides exclusive vessel stevedoring and exclusive gate services at the Port of Savannah and that CSC provides exclusive vessel stevedoring at the Port of Charleston. Neither offers an essential "health, safety, and security" service as was provided by Plaquemines Port. *See, e.g., Plaquemines - FMC*, 1986 WL 170020, at *5 ("[T]he Port's practice of assessing . . . a fee for providing to vessels and cargo essential health, safety and security services constitutes the furnishing of 'other terminal

facilities’ within the meaning of the 1984 Act.”) Stevedoring (provided by CSC and Gateway) and gate services (provided by Gateway) are nevertheless arguably “essential.” *See Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate Exclusive Tug Arrangements in Port Canaveral, Florida*, Docket Nos. 02-02 and 02-03, 2003 WL 21551810, at *6 (FMC July 8, 2003) (“*Canaveral Port Authority*”) (where the Commission confirmed that the Canaveral Port Authority had offered “an essential service, tug and towing” in an application of *Plaquemines*).⁵ This first question is therefore satisfied. The second question cannot be answered in the affirmative, however, as discussed below.

b. Control

The second factor, control, is the key factor to be assessed. *See, e.g., Plaquemines - ALJ*, 25 F.M.C. at 134 (in “so conditioning the use of these private facilities, Plaquemines Port controls their use, and control is the key factor.”); *Plaquemines - FMC*, 25 F.M.C. 59, 66-67 (An entity need not directly or physically provide terminal services to be deemed an ‘other person’ subject to the Act. . . . it is the control of terminal rates and practices which constitutes ‘furnishing’ terminal facilities and confers Commission jurisdiction.) Whether Respondents control access to private facilities to enforce their charges will be considered first, followed by whether Respondents exert significant control.

1. Do Respondents Control Access to Private Facilities to Enforce Their Charges?

Regarding question one, the evidence shows that neither Gateway nor CSC control access to private facilities to enforce their charges. Both Gateway and CSC have authority to “invoice,” but not to exclude based on failure to pay such invoices. FOF 33, 43-45, 67, 69, 72-73. This is not akin to the situation in *Plaquemines*, where the presiding officer found that the tariff rules written and published by Plaquemines Port allowed the port to “impose civil sanctions, including the placing of vessels, owners, agents, and users of Plaquemines Port facilities on a delinquent list ***with consequent denial of further use of the Port or its facilities***” for failure to pay Plaquemines Port’s tariffs. *Plaquemines - ALJ*, 25 F.M.C. at 98. Indeed, Plaquemines Port had even written into its tariff rules the possibility of criminal sanctions, such that a “failure to pay Plaquemines Port the proper toll, charge or fee for use of any facilities” could result in the person, firm, or corporation being guilty of a misdemeanor, punishable by a fine or imprisonment in the Parish jail, or both. *Plaquemines - ALJ*, 25 F.M.C. at 131; *see also Puerto Rico Ports Auth.*, 919 F.2d at 805 (1st Cir. 1990) (emphasizing that the Plaquemines Port tariff provided that any vessel failing to pay the fee would be denied “access to the Port ***and the private facilities*** within its jurisdiction.”).

⁵ This decision by the Commission granted a joint petition to approve a settlement and discontinue proceedings and also modified the analysis utilized to find jurisdiction over the Canaveral Port Authority. The Commission explained that upon “further consideration of the Commission’s Order in Docket No. 02-02 and the ALJ’s Initial Decision in Docket No. 02-03, we have realized that, while the findings of jurisdiction over CPA are correct, the analyses are unnecessarily restrictive.” *Canaveral Port Authority*, 2003 WL 21551810, at *5.

By contrast, here, there has been no showing that any of Respondents have the ability or authority, or have even attempted, to control access to private facilities to enforce their charges. *See, e.g.*, CX 1140-1141 ¶¶ 29-35 (no assertions that Gateway denies entry based on failure to pay fees); CX 1127-1128 ¶¶ 27-28 (no assertions that CSC denies entry based on failure to pay fees). ILA contends, for example, that “now, in both ports, if a carrier fails to pay either CSC’s or Gateway’s gate fees, Respondents have the ability to deny that carrier access to the facility in order to transport its cargo on road trucks.” However, ILA provides no valid support for this contention.

ILA notes in its Reply brief: “Respondents claim that the GPA and SCSPA police are generally responsible for terminal security, including who enters and exits the facility through terminal security gates. But the ILA never argued that Respondents have control over these security gates.” Reply at 9 n.14. With agreement over the fact that the relevant port authorities control security, including who enters and exits the facility, all that is left pointing to Respondents’ “control over access to facilities” is supposition. For example, ILA asserts: “Mr. Grimes states that the fact that carriers are billed weekly, rather than daily, for their services is somehow indicative that Gateway cannot deny access to carriers who refused to pay their fees. But of course Gateway would also be able to deny access to a carrier who does not make its weekly payments.” Reply at 8 n.10. Such assertions do not carry ILA’s burden here, and no other supportable proof has been referenced. Meanwhile, the GPA-Gateway Agreement takes care to describe the limits of Gateway’s authority. *See, e.g.*, FOF 25-39. The CSC-SCPA Agreements likewise affirm SCPA’s authority, and the requirement that CSC accede to SCPA rules and requirements. *See, e.g.*, FOF 50-55, 58-63.

2. Do Respondents Exert Significant Control?

Fundamentally, Gateway and CSC have not been shown to evidence the significant level of control required. *See, e.g., Plaquemines – FMC*, 25 F.M.C. at 66-67 (“Conditioning access to a port’s private facilities upon the payment of a charge for governmental services reflects **significant threshold control** over terminal facilities” and the “combination of the Port’s exclusive ability to furnish such terminal services, its assessment of selective transfer cargo fees and its control of access to the private facilities results in **fundamental control** over the rates and practices of terminal facilities”) (emphases added); *see also Puerto Rico Ports Auth.*, 919 F.2d at 806 (stating that Plaquemines Port “had **complete control** over the fees and charges levied by the owners of private terminal facilities. Through its **plenary control** over the private terminal facilities, the Port became a **de facto** terminal operator” and concluding that “PRPA did not exercise the type of plenary control over Ponce terminal facilities that [Plaquemines] Port exercised over private terminal facilities”) (emphases added). Instead, based on the facts developed, it is clear that GPA and SCPA remain in control as marine terminal operators, and that status is made evident by the agreements themselves. Gateway and CSC are granted sufficient authority to perform their designated stevedoring and gate services functions, but their authority is bounded. They have not been shown to have been provided with any authority of significance beyond that.

Certainly, Gateway and CSC’s roles at the respective ports do not support a “*de facto* marine terminal operator status” for either. This is particularly the case because control needs to have been exercised. *Lake Charles Harbor*, 2007 WL 2468431, at *5 (“An essential element in

Plaquemines was that Plaquemines Port had ***actually exercised control*** by implementing a tariff rule that effectively denied access to private facilities as a consequence of non-payment.” (emphasis added)). Gateway and CSC are authorized to provide services as designated in agreements with relevant port authorities, following rules and procedures established by port authorities. They must follow MTO tables, except as otherwise specified in agreements. *See, e.g.*, FOF 26, 31, 50, 52, 60, 62. GPA’s control even includes the option to veto Gateway’s pricing with carriers over vessel stevedoring and gate fees under certain conditions. FOF 34. SCPA, on the other hand, did not assure themselves an ability to veto CSC pricing. However, under the agreement, CSC is forced to commit to be market competitive and for its pricing to “bear a reasonable relationship to accepted norms for cost and profit standards for similar services in the South Atlantic port market” and to “be related to productivity routinely achieved on container ships at the Port.” FOF 55.

In *Plaquemines*, the determination that Plaquemines Port was a marine terminal operator did not rest on an ability to set prices alone. The outcome hinged on the ability of Plaquemines Port to exclude entry to port facilities for nonpayment of tariffs. *See, e.g., Plaquemines - FMC*, 25 FMC at 66 (Plaquemines Port “has imposed utilization of its services and payment of its fees as an unavoidable appurtenance of all private terminal facilities.”). As discussed above, none of Respondents have any authority, ability, or history of being able to exclude entry to port facilities for nonpayment of their fees. Gateway and CSC stand as service providers, chosen by their respective port authorities, GPA and SCPA. These port authority decision-makers concluded that port operations would be improved by instituting an exclusive container vessel stevedoring provider for reasons of efficiency, sustainability, and other enumerated factors. *See, e.g.*, FOF 24, 49. That Gateway and CSC offer container vessel stevedoring at the behest of the port authorities does not establish a significant level of control by Gateway or by CSC. Neither does Gateway’s selection as the exclusive gate services provider advance ILA’s arguments where the actual gate services provided are limited, under control of GPA decisions, rules, and regulations, and where GPA police is the entity empowered to restrict terminal entrance. *See, e.g.*, FOF 24-45. ILA’s arguments with respect to gate services are also contradicted by the facts, for example, ILA contends “Respondents cannot deny that Gateway and **CSC** have full operational control over gate facilities as the ‘exclusive providers’ of gate operation services in the Ports.” Reply at 8 (emphasis added). Yet, as ILA acknowledges elsewhere in its briefing, “the Charleston Gate Company performs gate service at the Port of Charleston.” Brief at 16; *see also* FOF 15, 55. In short, the evidence supports precisely what the contracts describe – that Gateway and CSC are third party service providers, serving at the discretion of the port authorities, which port authorities remain in control as the marine terminal operators. *See, e.g.*, FOF 23-45, 47-63.

It is noteworthy that the record contains no complaints from truckers or ocean carriers regarding stevedoring or gate fees, stevedoring or gate practices, or any lack of access to any facilities at the Port of Savannah or the Port of Charleston. In *River Parishes Co. v. Ormet Primary Aluminum Co.*, the Commission was evaluating whether the marine terminal operator’s grant of an exclusive contract for assist tugboat services at Burnside Terminal violated the Shipping Act. Docket No. 96-06, 1999 WL 125991, at *1 (FMC Feb. 3, 1999). The Commission held that the complainant had failed to meet its burden of proof on the merits, also observing:

[T]he vessels calling at Burnside do indeed require assist tug service, and they appear satisfied with the service they are receiving. While in *Gulf Container Lines*

the complainant was a customer of the terminal, here the complainant is an erstwhile competitor with the terminal's service in question, and it is difficult at best to assess what the customers (of both tug and terminal) have to complain about the sole provider system if the cost to them is lower and the service the same. In *Gulf Container Lines*, the complainant argued that the services being forced upon it were unwanted, unneeded and of very poor quality. Here customers are not complaining about the service. It is therefore unnecessary for us to speculate about the concerns of vessel interests if they do not register any complaints."

1999 WL 125991, at *33 (citation omitted).

While the lack of trucker and ocean carrier complaints here is not dispositive, it reinforces the need for ILA to provide evidence supporting such claims as "if a carrier does not agree to gate fees in Savannah or Charleston it is then otherwise forced to select another port . . . to ship its cargo." Reply at 15; *see also* Brief at 12. Here, the evidence presented shows that none of Respondents have a level of control analogous to that expressed in *Plaquemines*; rather, what Respondents can provide is limited, while the port authorities' control is assured across the breadth of the relationship.

If it had been established that any of Respondents furnished terminal facilities, it would also have been necessary for ILA to establish that such relevant facilities were provided in connection with a common carrier, to perfect marine terminal operator status. *Lake Charles Harbor*, 2007 WL 2468431, at *7. However, since ILA has not carried its burden of persuasion regarding any of Respondents either furnishing or operating terminal facilities, the question of whether terminal facilities are provided in connection with a common carrier need not be addressed.

2. Exclusive Stevedoring

ILA advances as a separate argument that jurisdiction can be supported entirely based on the exclusive provision of stevedoring by Gateway and CSC at the Ports of Savannah and Charleston, respectively. Brief at 11-13. It points to *Petchem* and *Canaveral Port Authority*, asserting these cases support the proposition that "once a carrier is required to use a particular entity for a marine terminal service, access to the terminal becomes conditioned on that entity, and the entity is considered a marine terminal operator." Brief at 11. However, ILA's argument does not acknowledge key distinctions made by the Commission across these and similar cases.

In the Commission's assessment of jurisdiction over Canaveral Port Authority ("CPA"), the key question was not whether CPA itself was a marine terminal operator; "CPA had conceded it *was* a marine terminal operator." *Canaveral Port Authority*, 2003 WL 21551810, at *5 (emphasis added). Rather, CPA argued that the Commission did not have jurisdiction over CPA's specific activities in question – its towing operations. *Canaveral Port Authority - Possible Violations of Section 10(B)(10), Unreasonable Refusal to Deal or Negotiate*, Docket 02-02, slip-op at 2 (FMC Feb. 24, 2003). In the present case, by contrast, it is the initial question – whether any of Respondents are in fact marine terminal operators – that is at issue. As the First Circuit reasoned in *Puerto Rico Ports Authority*, "To support the exercise of Commission jurisdiction, it

must be determined initially that the one providing the service is a marine terminal operator – in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier. Only then may a court turn to the second half of the jurisdictional inquiry under 10(d)(1) and determine whether certain activities are related to or connected with receiving, handling, storing, or delivering property.” 919 F.2d 799, 803 (“Contrary to the parties’ assertions, however, those activities alone are not sufficient to confer jurisdiction on the Commission.”).

Further, the entity deemed to have “furnished” terminal facilities in *Petchem* and *Canaveral Port Authority* is not the analog to the Respondent joint ventures – Gateway and CSC – but rather is the analog to the Port Authorities – GPA and SCPA. In *Canaveral Port Authority*, the Commission found jurisdiction over the decisionmaker, CPA, who had “usurped the right of carriers to choose their tug operator” by **deciding** that Seabulk would have an exclusive franchise. 2003 WL 21551810, at *5-6. It was the Port Authority of Georgia and the Port Authority of South Carolina State that decided to institute an exclusive stevedore at their respective ports, not Gateway and CSC (the JVs selected **as** exclusive stevedores). *See also Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at *13 (ALJ Jan. 10, 2013) (denying complainant’s claims, including its challenge of PAC’s “exercise of its contractual right of exclusivity,” explaining that the adoption of complainant’s position “would call into question the enforceability of all ‘quiet enjoyment’ leases of space in marine terminals regulated by the Commission and would require that their exclusivity provisions be affirmatively justified by the parties to the leases[,]” concluding: “[s]uch an expansion of Commission precedent is unsupported by applicable law.”) (admin. final March 20, 2013).

Finally, the Commission has been explicit in stating that it does not assert jurisdiction over stevedoring activities. Final Rule, Exemption of Certain Marine Terminal Arrangements, 57 Fed. Reg. 4578, 4581 n.16 (Feb 6, 1992) (“The Commission does not assert or claim jurisdiction over stevedoring activities”). Thus, it would be a particular stretch to deem Respondents here marine terminal operators (and thus subject to Commission jurisdiction) on the basis of their stevedoring activities.

3. Other Arguments

ILA makes a number of other assertions, seemingly intended to demonstrate Respondents’ status as MTOs via a classic definition. For example, ILA contends “CSC and Gateway are so interconnected with the Ports Authorities and are so involved in the day-to-day operations of the Ports’ terminal facilities (and the services connected therewith) that they share joint operational control with SCSA and GPA over the Ports’ terminal facilities.” Reply at 11; *see also* Reply at 15-16 (asserting that “office space leased by Respondents, among the other extensive property leased or licensed to Respondent, further illustrates Respondents’ extensive presence at the terminals and their involvement with the day-to-day operations of the terminal facilities”). However, coordination is not the equivalent of control. While the factual record supports that there is coordination and communication between the port authorities and Gateway/CSC, such coordination and communication does not change the fundamental power dynamic. As developed in the factual record, Gateway and CSC perform their designated and limited functions; they can otherwise make requests and recommendations, but ultimately the

port authorities decide matters pertaining to marine terminal operations. *See, e.g.*, FOF 24-41, 49-62.

ILA also points to evidence specific to Respondents other than Gateway and CSC, for example asserting that SSA operates an off-pier warehouse in Charleston; and claiming that Respondents “misunderstand what the office space, training areas, yard space, and other marine terminal facilities leased by Respondents on the terminals show.” Reply at 13, 15; *see also* Reply at 6 n.6 (where ILA contends Respondents “lease or license large swaths of the terminal facilities in both Savannah and Charleston (including gate booths, yard space, office buildings, warehouses, training areas, and the use of dockage, wharfage, and other terminal areas as needed to perform their stevedoring and gate services).”).

These and other examples ILA points to either are not sufficiently supported with facts or are not relevant to the outcome. For example, an entity having office space or space to store supplies used by the entity itself does not constitute that entity’s furnishing of marine terminal facilities. As for ILA’s off-pier warehouse argument, ILA has not provided the legal support necessary to establish that these activities are sufficient to find an entity to be a marine terminal operator under the Shipping Act. Further, without reliable evidence to support them, statements in declarations to the effect that an entity “maintains complete control over the marine terminal” or that it “completely controls the shipping and storage yards within the terminals, as well as all movements of cargo throughout the yard” are not proof of the same. *See, e.g.*, CX 1120-21; CX 1126; *see also* CX 1132; CX 1139.

ILA has not established by a preponderance of the evidence that any of the named Respondents herein are marine terminal operators, and accordingly, its claim is denied.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that ILA has not carried its burden of demonstrating by a preponderance of the evidence that any of Respondents are marine terminal operators, it is hereby

ORDERED that the claims against each of the Respondents be **DENIED**. It is

FURTHER ORDERED that ILA’s Amended Complaint against each of Respondents be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.



Linda S. Harris Crovella
Administrative Law Judge